

“permanent investments,” exempt from change and free from care, is no doubt permanently gone. Our studies lead us to conclude, however, that by sufficiently stringent standards of selection and reasonably frequent scrutiny thereafter the investor should be able to escape most of the serious losses that have distracted him in the past, so that his collection of interest and principal should work out at a satisfactory percentage even in times of depression. Careful selection must include a due regard to future prospects, but we do not consider that the investor need be clairvoyant or that he must confine himself to companies that hold forth exceptional promise of expanding profits. These remarks relate to (really) high-grade preferred stocks as well as to bonds.

2. Future of Interest Rates and Bond Prices. The unprecedentedly low yields offered by both short- and long-term bond issues may well cause concern to the investor for other reasons than a natural dissatisfaction with the small return that his money brings him. If these low rates should prove temporary and are followed by a rise to previous levels, long-term bond prices could lose some 25%, or more, of their market value. Such a price decline would be equivalent to the loss of perhaps ten years’ interest. In 1934 we felt that this possibility must be taken seriously into account, because the low interest rates then current might well have been a phenomenon of subnormal business, subject to a radical advance with returning trade activity. But the persistence of these low rates for many years, and in the face of the considerable business expansion of 1936–1937, would argue strongly for the acceptance of this condition as a well-established result of a plethora of capital or of governmental fiscal policy or of both.

A new uncertainty has been injected into this question by the outbreak of a European war in 1939. The first World War brought about a sharp increase in interest rates and a corresponding severe fall in high-grade bond prices. There are sufficient similarities and differences, both, between the 1914 and the 1939 situations to make prediction too risky for comfort. Obviously the danger of a substantial fall in bond prices (from the level of early 1940) is still a real one; yet a policy of noninvestment awaiting such a contingency is open to many practical